

America Class B Common at \$16 per share. International Securities Corporation was a subsidiary of American Founders, and the latter had acquired the Class B stock of the former at a cash cost of \$3.70 per share in 1926. American Founders reported net earnings for common stock in 1927 amounting to \$1,316,488, most of which was created by its own stockholders through their purchase of shares of the subsidiary as indicated above.⁴

Distortion of Dividend Return. Just as a holding company's income may be exaggerated by reason of stock dividends received, so the dividend return on its shares may be distorted in the public's mind by payment of periodic stock dividends with a market value exceeding current earnings. People are readily persuaded also to regard the value of frequent subscription rights as equivalent to an income return on the common stock. Pyramided enterprises are prodigal with subscription rights, for they flow naturally from the succession of new acquisitions and new financing which both promote the ambitions of those in control and maintain speculative interest at fever heat—until the inevitable collapse.

The issuance of subscription rights sometimes gives the stock market an opportunity to indulge in that peculiar circular reasoning which is the joy of the manipulator and the despair of the analyst. Company A's stock is apparently worth no more than 25. Speculation or pool activity has advanced it to 75. Rights are offered to buy additional shares at 25, and the rights have a market value of, say, \$10 each. To the speculative fraternity these rights are practically equivalent to a special dividend of \$10. It is a bonus that not only justifies the rise to 75 but warrants more optimism and a still higher price. To the analyst the whole proceeding is a delusion and a snare. Whatever value the rights command is manufactured solely out of speculators' misguided enthusiasm, yet this chimerical value is accepted as tangible income and as vindication of the enthusiasm that gave it birth. Thus, with the encouragement of the manipulator, the speculative public pulls itself up by its bootstraps to dizzy heights of irrationality.

⁴ In the three years 1928–1930 the American Founders group reported total net investment profits of about \$43,300,000; but all of this sum and more was derived from profits on inter-company transactions of the kind described above. See the S.E.C.'s Over-all Report on Investment Trusts, Part III, Chapter VI, Sections II and III, released February 12, 1940.